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Articles of Association

6.1 Introduction

The articles of association of a company are its bye-laws or rules and regulations that govern the management of its internal affairs and the conduct of its business.

According to section 2(5) of the Act 'articles' means the articles of association of a company as originally framed or as altered from time to time in pursuance of any previous company laws or of the present Act, *i.e.*, the Act of 2013.

The articles regulate the internal management of the company. They define the powers of its officers. They also establish a contract between the company and the members and between the members *inter se*. This contract governs the ordinary rights and obligations incidental to membership in the company [*Naresh Chandra Sanyal v. Calcutta Stock Exchange Association Ltd.* AIR 1971 SC 422].

Articles are like the partnership deed in a partnership. They set out provisions for the manner in which the company is to be administered. In particular, they provide for matters like the making of calls; forfeiture of shares; directors' qualifications, appointment, powers and duties of auditors¹; procedure for transfer and transmission of shares and debentures.

6.2 Memorandum and articles - Their relationship

The articles regulate the manner in which the company's affairs will be managed. The memorandum defines the company's objects and various powers it possesses; the articles determine how those objects shall be achieved and those powers exercised. But the Companies Act, 2013, does not require the articles to provide for certain specified matters in the same way as it requires the memorandum to do. Consequently, the contents of the articles of different companies may vary substan-

1. These are governed by the specific provisions of the Act and hence if these are contained in the articles, then they have to conform to the specific statutory requirements except in the matter of duties, where the responsibility cast on the auditor may contain matters additional to the specific statutory requirements.

tially, and the utmost flexibility is allowed to the persons who form the company to organise its management as they wish.

The articles of a company are subordinate and controlled by the memorandum of association which is the dominant instrument and contains the general constitution of the company. The memorandum is fundamental and can be altered only under certain circumstances provided by the Act. But the articles are only internal regulations, over which the members of the company have full control and may alter them according to what they think fit. Care has to be taken to see that regulations provided for in the articles do not exceed the powers of the company as laid down by its memorandum - *Ashbury v. Watson* [1885] 30 Ch. D 376 CA - Articles going beyond the Memorandum are *ultra vires* - *Shyam Chand v. Calcutta Stock Exchange* AIR 1947 Cal. 337.

Subject to the rule that the memorandum prevails in the event of a conflict, the memorandum and the articles are contemporaneous documents, must be read together, and ambiguity or uncertainty in the one may be removed by reference to the other. Thus, where the memorandum was silent as to whether the company's shares were to be all of one class or might be of different classes, it was held that a power given by the articles to issue shares of different classes resolved the uncertainty and enabled the company to do so [*Re, South Durham Brewery Company* [1885] 31 Ch. D 261]. Where the memorandum of a trading company empowered to do all things incidental to achieving the object, it was held that provision in the articles empowering the company to lend money merely exemplifies the general words of the memorandum, and the company was, therefore, entitled to lend money to its employees [*Rainford v. James Keith and Blackman Company Ltd.* [1905] 2 Ch. 147]. Again, where the memorandum empowered the company to borrow on the security of its assets or credit and the articles provided that it might mortgage its uncalled capital, it was held that the articles merely made specific the general words of the memorandum so that the company could have power to mortgage its uncalled capital [*Re Pyle Works (No. 2)* [1891] 1 Ch. 173].

The memorandum and articles can be read together only to remove an ambiguity or uncertainty. If the memorandum is perfectly clear, a doubt as to its meaning cannot be raised by reference to the articles; in such a case the articles are simply inconsistent with the memorandum and are disregarded. Thus, where the memorandum exhaustively defined the rights of preference shareholders, and the articles provided that on a winding up the company's surplus assets, after paying all its debts and repaying share capital, should be distributed among all its shareholders, it was held that preference shareholders were not entitled to share any surplus assets; because their rights were to be ascertained from the memorandum alone, and the memorandum did not confer the right to participate on them [*Duncan Gilmour & Co. Ltd., Re* [1952] All. ER 871].

The relationship between memorandum and articles has been aptly summed up by Lord Cairns, L.C. in *Ashbury Railway Carriage & Iron Co. Ltd. v. Riche* [1875] L.R. 7 H. L. 653 as follows :—

“The articles play a part subsidiary to a memorandum of association. They accept the memorandum of association as a charter of incorporation of the company, and so accepting it, the articles proceed to define the duties, rights and powers of governing body as between themselves and the company at large, and the mode and form in which

business of the company is to be carried on, and the mode and form in which changes in the internal regulations of the company may from time to time be made. . . . The memorandum is as it were. . . ., the area beyond which the actions of the company cannot go; inside that area, the shareholders may make such regulations for their own government as they think fit.”

6.3 Distinction between memorandum of association and articles of association

The main points of distinction between memorandum and articles may be noted as follows:—

1. The memorandum contains the fundamental conditions upon which alone the company is allowed to be incorporated. These conditions are introduced for the benefit of the creditors, and the outside public, as well as the shareholders. The articles of association are the internal regulations of the company; they only regulate the relationship between company and the members and members *inter se* (i.e., amongst members themselves).
2. Memorandum lays down the area beyond which the activities of the company cannot go. Articles provide for regulations inside that area. Thus, memorandum lays down the parameters for the articles.
3. Memorandum of association can be altered only under certain circumstances and in the manner provided in the Act. In most of the cases permission of the Central Government/Tribunal is required, besides the approval of the shareholders in a general body meeting either by way of an ordinary resolution or special resolution. Generally, articles can be altered by the members by passing a special resolution only.
4. Memorandum of association cannot include any clause contrary to the provisions of the Companies Act. The articles of association are subsidiary both to the Companies Act and the memorandum of association.
5. Acts done by a company beyond the scope of the memorandum are *ultra vires* and, thus, absolutely void. They cannot be ratified even by unanimous vote by all the shareholders. But the acts beyond the articles can be ratified by the shareholders provided the relevant provisions are not beyond the memorandum.

6.4 Contents

You have learnt that the Articles of Association of a company contains the rules and regulations for the internal management of the company. As per Section 5 of the Companies Act, 2013, the Articles shall also contain such matters, as may be prescribed. However, company may include such additional matters in its articles as may be considered necessary for its management.

6.4-1 Provisions for Entrenchment

For the first time Companies Act, 2013 contains provisions relating to entrenchment from Articles. Sub-section (3) of Section 5 provides that the articles may contain provisions for entrenchment. What it means is that Articles may provide that certain

provisions of the Articles will not be alterable merely by passing a special resolution; they will require a more elaborate prescribed procedure to be followed.

The provisions for entrenchment referred to above shall only be made either on formation of a company, or by an amendment in the articles agreed to by all the members of the company in the case of a private company and by a special resolution in the case of a public company.

Where the articles contain provisions for entrenchment, whether made on formation or by amendment, the company shall give notice to the Registrar of such provisions in such form and manner as may be prescribed.

The Articles of Association of a company usually contain rules and regulations relating to the following matters:

- (i) The exclusion, wholly or in part, of the model articles as contained in respective Tables.
- (ii) Share capital - shares and their value and their division into equity and preference shares, if any.
- (iii) Rights of each class of shareholders and procedure for variation of their rights.
- (iv) Procedure relating to the allotment of shares, making of calls and forfeiture of shares.
- (v) Increase, alteration and reduction of share capital.
- (vi) Rules relating to transfer or transmission of shares and the procedure to be followed for the same.
- (vii) Lien of the company on shares allotted to the members for the amount unpaid in respect of such shares and the procedure in respect thereof.
- (viii) Appointment, remuneration, powers, duties etc. of the directors and officers of the company.
- (ix) Constitution and composition of Audit Committee, Remuneration Committee, CSR Committee.
- (x) Procedure for conversion of shares into stock and *vice versa*.
- (xi) Notice of the meetings, voting rights of members, proxy, quorum, poll, etc.
- (xii) Audit of accounts, transfer of amount to reserves, declaration of dividend, etc.
- (xiii) Borrowing powers of the company and the mode of exercise of those powers.
- (xiv) Issue of share certificates including procedure for issue of duplicate shares.
- (xv) Winding up of the company.

The Articles of Association must be prepared carefully and it must contain rules in regard to all such matters which are required to be contained therein and which are necessary for the smooth functioning of the company.

But you must remember that the Articles must not contain anything which is against the provisions of the Companies Act or the Memorandum of Association. For example, Articles must not contain a rule permitting the payment of dividend

out of capital, because according to Section 123, dividend can be paid only out of profits.

6.4-2 Regulations required in case of unlimited company, company limited by guarantee and private company limited by shares

Tables G, H, I and J appended to Schedule I require the Articles of Association of a guarantee company having share capital and an unlimited liability company having share capital to mention the number of members with which the company proposes to be registered and in case of a guarantee company not having share capital and an unlimited liability company not having share capital, the Articles of Association should also state that the subscribers to the memorandum and such other persons as the Board shall admit to membership shall be members of the company.

A private company having a share capital must provide in the articles, the three restrictions specified in sub-clauses (i), (ii) and (iii) of sub-section (68) of Section 2, viz., (i) as to the right to transfer shares (ii) limit as to number of its members (iii) invitation to public to subscribe for any securities of the company. Any other private company (i.e., not having share capital) must provide in its articles, restrictions as given under (i) and (ii) as mentioned above.

6.5 Model form of articles

As per Section 5 of the Companies Act, 2013, the articles of a company shall be in respective forms specified in Tables F, G, H, I and J in Schedule I as may be applicable to such company. You may note that Table F contains model articles for a company limited by shares. Tables G, H, I and J contain model articles for a company limited by guarantee and having a share capital, a company limited by guarantee and not having a share capital, an unlimited company and having a share capital and an unlimited company but not having a share capital respectively.

A company may adopt all or any of the regulations contained in the model articles applicable to such company.

In case of any company, which is registered under the Companies Act, 2013, in so far as the registered articles of such company do not exclude or modify the regulations contained in the model articles applicable to such company, those regulations shall, so far as applicable, be the regulations of that company in the same manner and to the extent as if they were contained in the duly registered articles of the company.

With respect to companies registered under any previous law, the existing articles may continue unless the company decides to change the same as per the model articles contained in the respective applicable table, as aforesaid.

6.6 Signing of articles

As per Rule 13 of the Companies (Incorporation) Rules, 2014, the Memorandum and Articles of Association of the company shall be signed in the following manner:-

- ◆ Memorandum and articles of association of the company shall be signed by each subscriber to the memorandum, who shall add his name, address, description and occupation, if any, in the presence of at least one witness who

shall attest the signature and shall likewise sign and add his name, address, description and occupation, if any.

The witness shall state that “I witness to subscriber/subscriber(s) who has/have subscribed and signed in my presence (date and place to be given). Further I have verified his/their ID for their identification and satisfied myself of his/her/their identification particulars as filled in.

- ◆ **Where a subscriber to the memorandum is illiterate**, he shall affix his thumb impression or mark which shall be described as such by the person, writing for him, who shall place the name of the subscriber against or below the mark and authenticate it by his own signature. He shall also write against the name of the subscriber, the number of shares taken by him. Such person shall also read and explain the contents of the memorandum and articles of association to the subscriber and make an endorsement to that effect on the memorandum and articles of association.
- ◆ **Where the subscriber to the memorandum is a body corporate**, the memorandum and articles of association shall be signed by director, officer or employee of the body corporate duly authorized in this behalf by a resolution of the board of directors of the body corporate.
- ◆ **Where the subscriber is a Limited Liability Partnership**, it shall be signed by a partner of the Limited Liability Partnership, duly authorized by a resolution approved by all the partners of the Limited Liability Partnership.
- ◆ **Where subscriber to the memorandum is a foreign national residing outside India**, memorandum and articles of association shall be signed in the manner prescribed in the rules.

6.7 Alteration of articles

Section 14 provides that subject to the provisions of the Act and to the conditions contained in its memorandum; a company may, by *special resolution* alter its articles including alterations having the effect of conversion of—

- (a) a private company into a public company; or
- (b) a public company into a private company.

Conversion of a private company into a public company

Where a private company alters its articles in such a manner that they no longer include the restrictions and limitations which are required to be included in the articles of a private company, that is, the restrictions contained in Section 2(68), the company shall, as from the date of such alteration, cease to be a private company.

In other words, a private company may convert itself into a public company by omitting the three restrictive clauses of Section 2(68) [*Already discussed under definition of a private company*].

Conversion of a public company into a private company where alteration of the Articles shall have the effect of conversion of a public company into a private company, the same shall not take effect unless the approval of the Tribunal has been obtained. In other words, if a public company wants to convert itself into a public

company by introducing the three restrictive clauses of Section 2(68), merely passing of special resolution will not be sufficient; it will have to obtain the approval of the Tribunal also.

Filing copy of special resolution : A copy of special resolution altering the articles must be filed with the Registrar within 30 days of the passing of the special resolution as required by section 117. The right to alter articles just by passing special resolution is so important that a company cannot, in any manner, deprive itself of this power - *Walker v. London Tramway Company* [1879].

Filing copy of altered Articles - Sub-section (2) of Section 14 requires every alteration of the articles and a copy of the order of the Tribunal approving the alteration, where applicable, shall be filed with the Registrar, together with a printed copy of the altered articles, within a period of fifteen days in such manner as may be prescribed and the Registrar shall register the same.

Any alteration of the articles registered under sub-section (2) shall, subject to the provisions of this Act, be valid as if it were originally in the articles.

6.7-1 Limitation on power to alter articles

These are :—

1. *The alteration must not exceed the powers given by the memorandum or be in conflict with any provisions of the memorandum.* In the event of conflict between the memorandum and the articles, it is the memorandum that will prevail.
2. *The alteration must not be inconsistent with any provisions of the Companies Act or any other statute.* For example, no company can finance purchase of its own shares (section 67) and if the articles of a company are altered so as to have such power to purchase its own shares, then such power will be void.

Similarly, where a resolution was passed expelling a member and authorising the director to register the transfer of his shares without an instrument of transfer, the resolution was held to be invalid as being against the provisions of the Act [*Madhava Ramachandra Kamath v. Canara Banking Corporation* [1941] 11 Comp. Cas. 78 (Mad.)].

However, articles may impose on the company conditions stricter than those provided under the law; for example, they may provide that a resolution should be passed by a special majority when the Act requires it to be passed by an ordinary majority. However, no provision in the articles can dilute the conditions of the memorandum or of the Act.

3. *Not be inconsistent with any alteration made by the Tribunal:* Where under Section 242, the Tribunal makes an order with respect to any alteration in the memorandum or articles of a company, then the company shall not have the power to make any alteration which is inconsistent with its orders except with the approval of the Tribunal [Sec. 242(5)].
4. *The altered articles must not include anything which is illegal or opposed to public policy or unlawful.*

5. *The alteration must be bona fide for the benefit of the company as a whole.* The alteration will not, however, be bad merely because it inflicts hardship on an individual shareholder.

In *Allen v. Gold Reefs of West Africa Limited* [1900] 1 Ch. 656, a company had a lien on all shares 'not fully paid-up' for calls due to the company. There was only one shareholder 'A', who owned fully paid-up shares. He also held partly paid shares in the company. 'A' died. The company altered its articles by striking the words "fully paid-up" and thus giving itself a lien on all shares - whether fully paid-up or not. The legal representative of 'A' challenged the alteration on the ground that the alteration had retrospective effect. *Held that*, the alteration was good, as it was done *bona fide* for the benefit of the company as a whole, even though the alteration had a retrospective effect. Again, in *Side Bottom v. Kershaw Leese & Co.* [1920] Ch. 154 (C.A.), a company was empowered by an alteration in the articles, to expropriate shares held by any member who was in business in competition with the company. At the time of alteration, there was only one member doing business in competition with the company. He challenged the alteration. *Held that*, the alteration was valid, as the alteration was *bona fide* for the benefit of the company. [This ruling seems to apply to private companies and closely held public companies].

When a person comes as a member, he is not entitled to assume that the articles will always remain in a particular form, and so long as the proposed alteration does not unfairly discriminate, it cannot be open to objection, provided the resolution is *bona fide* passed [*Greenhalgh v. Aderne Cinemas* [1950] 2 All ER 1120 (CA)].

6. *The alteration must not constitute a fraud on the minority by a majority.* If the alteration is not for the benefit of the company as a whole, but for majority of shareholders, then the alteration would be bad. *In other words*, an alteration to the articles must not discriminate between the majority shareholders and the minority shareholders so as to give the former an advantage over the latter.

In *Brown v. British Abrasive Wheel Co.* [1919] 1 Ch. 290, the majority which held 98% of the shares passed a special resolution that upon the request of holders of 9/10th of the issued shares, a shareholder shall be bound to sell and transfer his share to the nominee of such holder at a fair value. The alteration was held to be invalid since it amounted to oppression of minority.

Again, in *Mathrubhumi Printing & Publishing Co. Ltd. v. Vardhaman Publishers Ltd.* [1992] 73 Comp. Cas. 80 (Ker.), the Kerala High Court held that the power conferred on the company under section 31 (now section 14) to alter the articles by special resolution is not to be abused by the majority of shareholders so as to oppress the minority. The court further observed that no majority of shareholders can, by altering the articles retrospectively, affect, to the prejudice of the consenting owners of shares, the right already existing under a contract nor take away the right accrued, e.g., after a transfer of share is lodged, the company cannot have a right of lien so as to defeat the transfer.

A company cannot deprive itself of the statutory power of altering the articles of association either by a statement in the articles or by a contract that they shall not be altered. The only limit on alteration is that the action cannot be used to oppress or defraud a minority of shareholders or so as to violate any statutory provision or principle of law and that the power like the other powers, must be exercised fairly and according to law [*All India Railway Men's Benefit Fund v. Jamadar Baheshwarnath Bali* [1945] 15 Comp. Cas. 142 (Nag.)].

7. *An alteration of articles to effect a conversion of a public company into a private company cannot be made without the approval of the Tribunal [section 14].*
8. *A company cannot justify breach of contract with third parties or avoid a contractual liability by altering articles.*

In *British Murac Syndicate Ltd. v. Alperton Rubber Co.* [1915] 2 Ch. 186, an agreement provided that so long as the plaintiff syndicate should hold 5,000 shares in the defendant company, it should have the right of nominating two directors on the Board of the defendant company. A provision to the same effect was contained in 'article 88' of the defendant company's articles. The plaintiff syndicate nominated two directors whom the defendant company refused to accept. An attempt was then made to cancel article 88, but an injunction was granted to restrain it. The learned judge observed that the contract clearly involved, as one of its terms, that article 88 was not to be altered.

It may also be noted that an alteration cannot be made to avoid the rigours of a contract validly undertaken.

However, where the damage is capable of being measured in terms of money, the company may alter its articles, subject to being answerable in damages in breach.

By effecting alteration in its articles, a company cannot defeat or escape from its contractual obligation with any person. The company will always be liable for damages in case the alteration results in a breach of the contract the company had entered into with any person [*Mathrubhumi Printing & Publishing Co. Ltd. v. Vardhaman Publishers Ltd.* (*supra*)].

In *Southern Foundries (1926) Ltd. v. Shirlaw* [1940] 10 Comp. Cas. 255 (HL), the articles of the company provided that the directors may appoint one of them to be the managing director. *In other words*, a managing director had to be a director and if he ceased to be a director, he could not function as managing director. In December 1933 an agreement was entered into between 'S' and the company, by which 'S' was appointed as managing director for 10 years, and he could not resign his office during this period nor was the power to remove him to be exercised. Within three years of the agreement, the company became a fully owned subsidiary of another company 'F' and its articles were altered giving 'F' the power to remove any director of the company, and in 1937 'S' was removed from the directorship with the consequence that he also ceased to be the managing director. The

question was whether the company exercising this statutory right of altering the articles, committed a breach of an implied obligation to 'S'.

Held, that the altered articles had provided for dismissal of the managing director and the said dismissal would be *intra vires* the company, but would, nevertheless expose the company to an *action for damages* as the appointment had been made for a term of 10 years and he was dismissed before the term was over.

9. The amended regulation in the articles of association cannot operate retrospectively, but only from the date of amendment [*Pyare Lal Sharma v. Managing Director, J & K Industries Ltd.* [1989] 3 Comp. L.J. (SL) 70].
10. Provisions by way of contractual obligation in articles of association of a company cannot limit statutory power of a company to alter its articles. In *State of Karnataka v. Mysore Coffee Curing Works Ltd.* [1984] 55 Comp. Cas. 70 (Kar.), the State Government held shares in company 'M' and the articles of the company provided that the State Government could nominate three directors and also the chairman of the Board in consideration of having subscribed to the capital of the company. Later, the company issued right shares in the ratio of 1:1 which the State Government did not take and consequently its shareholding dwindled to 19.6 per cent. The company proposed to alter the relevant articles affecting the State Government's right to nominate directors and the chairman.

Held, it could do so. The Karnataka High Court observed that the only restriction on the unfettered power under section 31(1) [now section 14(1)] is the restriction imposed by the proviso to that section, and it is, that a public company cannot convert itself into a private company by merely carrying out an amendment to the articles of association of such a company.

11. Amendment of articles to empower Board of Directors to expel a member is opposed to the fundamental principles of company jurisprudence and is *ultra vires* of the company - *Circular No. 32/75, dated 1-11-1975*.

6.7-2 What amounts to alteration of articles

An interesting situation arose in *Gur Prasad Kapoor v. Rameshwar Prasad* [1933] 3 Comp. Cas. 153 (All.). The articles of association of a company provided that until otherwise determined by a general meeting, the number of directors shall not be less than five and more than nine. The question was whether, where the company in a general meeting, without passing a special resolution resolved to increase the number of directors to 16, the resolution was valid.

Held, that merely increasing the number of directors did not involve any alteration in the articles which itself gave power to the shareholders in that respect. Therefore, the resolution passed was valid. The right construction of the articles was that it was upon the shareholders to vary the number of directors in the company without in any way necessitating an alteration in the articles.

Again in *Topandas Mohanlal Advani v. Yeotmal Electric Supply Co.* [1940] 10 Comp. Cas. 133 (Sind), the relevant article 98 provided that until otherwise determined by a general meeting the number of directors shall be not less than three or more than seven. At a general meeting, a resolution was passed to the effect that 'until

otherwise determined by a general meeting the number of directors shall not be less than 3 or more than 11, and the present strength of the board be increased to 11'. The question was whether the resolution was a resolution under the relevant article or whether this amounted to alteration of article.

Held, that the language of the resolution suggested the replacement of Article 98 by the resolution, but it can be held without any difficulty that this resolution was a resolution made under Article 98. It only did what this article contemplated might be done. There is nothing in the Companies Act which requires that articles of association must be rigid and may not in themselves provide for varying sets of circumstances. The impugned resolution at a general meeting that the number of directors should be increased was valid and no special resolution was required.

6.7-3 Effect of altered articles

Alteration binds members in the same way as original articles. The provision of section 10 providing that the articles shall bind the company and the members to the same extent as if they had been signed by the company and by each member, means the articles as originally framed, or as they may from time to time stand after they have been altered are valid under the provisions of the Act. There is clear power to alter the articles, and as altered, they bind members just in the same way as did the original articles².

Right of a shareholder to transfer his shares is always subject to provisions in articles of association as well as section 31 [now section 14]. A transferee, therefore, cannot have a better right than the transferor. The rights of a transferee until the transfer becomes effective, as against the company will again be subject to the provisions of the articles of association and the relevant provisions of the Act. The alteration affecting the articles of association in exercise of the said power cannot, therefore, be challenged by the transferee on the ground of *mala fide*- *Mathrubhumi Printing & Co. Ltd. v. Vardhaman Publishers Ltd. (supra)*.

6.7-4 Procedure for alteration of articles of association

For effecting alteration to the articles of association, the following procedure is required to be followed :—

1. The proposal has to be approved by the Board of directors. The Board will fix the date and time of the general meeting. It will also approve the draft notice of the meeting, the special resolution and explanatory statement. The secretary, if any, will be authorised to convene the general body meeting.
2. The secretary shall convene the meeting on the appointed day. In the meeting the necessary special resolution amending the articles of association shall be passed.
3. Within 30 days of the passing of the resolution, a certified copy thereof shall be filed with the Registrar of Companies [*vide* section 117 of the Companies Act].
4. Where the alteration of the articles has the effect of converting a public company into a private company, the company shall seek the approval of the

2. *Malleson v. National Insurance & Guarantee Corpn.* [1894] 1 Ch. 200 (Ch. D.)

Tribunal which shall make such order as it may deem fit (*vide* section 14 of the Companies Act).

5. After getting the approval of the Tribunal, printed copy of the articles, as altered, should be filed by the company with the Registrar of Companies in Form No. INC-27 within 15 days of the date of receipt of order of approval from the Tribunal.
6. Six copies of the amendments (one of which shall be certified) should be sent to the stock exchange(s) on which the shares of the company are listed, as soon as they have been adopted by the company in the general meeting (*as per the Standard Listing Agreement*).
7. Alteration should be noted in every copy of the articles of association, and the articles issued after the date of alteration should be in accordance with the altered articles (section 15). A default in this regard shall invite penalty against the company as well as every officer in default. The penalty provided under the section is fine of Rs. 1000 for each copy so issued.

6.8 Binding effect of memorandum and articles

Section 10 provides that the memorandum and articles, when registered, bind the company and its members to the same extent as if they have been signed by the company and by each member and contain covenants on its and his part to observe all the provisions of the memorandum and of the articles. Thus, the company is bound to the members; the members are bound to the company; and the members are bound to the other members by whatever is contained in these documents. But, in relation to articles, neither a company nor its members are bound to outsiders.

The articles of association merely govern the internal management, business or administration of a company. They may be binding between the persons affected by them but they do not have the force of statute - *Irrigation Development Employees' Association v. Government of Andhra Pradesh* [2005] 55 SCL 459 (AP).

Binding on company and its directors - Merely because in articles of association, the board of directors is empowered to refer any claim or demand to arbitration, provisions of section 36 [now section 10] cannot be interpreted to mean that the company or its directors shall be bound to incorporate a provision for arbitration in every agreement that the company executes - *Skypark Builders & Distributors v. Kerala Police Housing & Construction Corpn. Ltd.* [2004] 50 SCL 254 (Ker.).

The discussion on legal effect of the memorandum and articles may be made under the following heads :—

- (a) Members bound to the company;
- (b) Company bound to the members;
- (c) Members bound to the members;
- (d) Company and the outsiders.

6.8-1 Members bound to the company

Each member must observe the provisions of the articles and memorandum. *For instance*, a company has a right of lien on member's shares, or to forfeit the shares

on non-payment of calls. Every member is bound by whatever is contained in the memorandum and articles. In *Borland's Trustee v. Steel Bros. Co. Ltd.* [1901] 1 Ch. 279, the articles of a company contained a clause that on the bankruptcy of a member, his shares should be sold to other person and at a price fixed by the directors. 'B', a shareholder was adjudicated bankrupt. His trustee in bankruptcy claimed that he was not bound by these provisions and should be at liberty to sell the shares at the true value.

Held, that the trustee was bound by the articles as a share was purchased by 'B' in terms of the articles. However, it may be noted that in the current position, this decision will have a restricted application to private companies or closely held public companies. It appears that such a restrictive clause in the articles will not be acceptable to the Registrar of Companies.

Again, a company's memorandum provided that it shall have a first and paramount lien upon each share for debts due to the company by members of the company. One of the members owed some amount to the company. He pledged his share with a bank to secure an overdraft and the bank gave notice of pledge to the company. The company claimed priority over the pledge of the bank and contended that the shares pledged with the bank were bound by the company's lien as given in the articles of association.

The court upheld the contention of the bank in respect of debts incurred by the member before the notice of pledge was given to the company - *Bradford Baking Co. v. Briggs Son & Co.* [1886] 12 AC 29 (HL).

Each member is bound by the covenants of memorandum and articles as originally framed or as altered from time to time in accordance with the provisions of the Companies Act - *Malleson v. National Insurance & Guarantee Corpn.* (*supra*).

In *Hickman v. Kent Sheepbreeders' Assn.* [1915] 1 Ch. 881, the learned Judge observed that though the articles can neither constitute a contract between the company and an outsider nor give any individual member of the company special contractual right beyond those of the members generally, they in fact constitute a contract between the company and its members in respect of their ordinary rights as members. Thus, an article referring to arbitration of any dispute between the company and any member does not constitute a submission to arbitration of a dispute between the company and one of its directors as such, notwithstanding that the director was a member of the company [*Also see Beattie v. Beattie* [1938] Ch. 708.]

The articles of association are the regulations of the company binding on the company and on its shareholders. Shareholders, therefore, cannot, among themselves, enter into an agreement which is contrary to or inconsistent with the articles of association of the company - *V.B. Rangaraj v. V.B. Gopalkrishnan* [1992] 73 Comp. Cas. 201 (SC).

6.8-2 Company bound to members

A company is bound to members by whatever is contained in its memorandum and articles of association. The company is bound not only to the "members as a body" but also to the individual members as to their individual rights. The members can restrain a company from spending money on *ultra vires* transaction. An individual

member can make the company fulfil its obligation to him, such as to send the notice for the meetings, to allow him to cast his vote in the meeting.

In *Wood v. Odessa Waterworks* [1889] 42 Ch. D. 636, the directors proposed to pay dividend in kind by issuing debentures. The articles provided for payment of dividends. The court held that payment means payment in cash and therefore the company could be compelled to pay dividend in terms of the articles.

In *World Phone India (P.) Ltd. v. WPI Group Inc., USA* [2013] 32 taxmann.com 238 (Delhi), where respondent shareholder asserted affirmative vote in board meeting in terms of JVA entered into between parties but Articles of Association had not been amended to incorporate affirmative vote provided to respondent, it was held that JVA was not binding on company and respondent could not insist on exercise of affirmative vote.

Normally, action for breach of articles against the company can be brought only by a majority of the members. Individual or minority members cannot bring such a suit except when it is intended for enforcement of personal rights of members or to prevent the company from doing any *ultra vires* or illegal act, fraud, or acts of oppression and mismanagement.

6.8-3 Members bound to members

The articles bind the members *inter se*, i.e., one to another as far as rights and duties arising out of the articles are concerned.

It is well settled that the articles of association will have a contractual force between the company and its members as also between members *inter se* in relation to their rights as such members - *Ramakrishna Industries (P.) Ltd. v. P.R. Ramakrishnan* [1988] 64 Comp. Cas. 425 [Also see, *Smt. Claude - Lila Parulekar v. Sakal Papers (P.) Ltd.* [2005] 59 SCL 414 (SC)].

After the articles are registered, they not only constitute a contract between the association or company on the one hand and its constituent members on the other, but they also constitute a contract between the members *inter se*.³

The articles of a company provided that whenever any member wished to transfer his shares, he was under an obligation to inform the directors of his intention and the directors were under an obligation to take the said shares equally between them at a fair value. The directors refused to take shares of a particular member on the ground that the articles did not impose an enforceable liability upon them.

Held that the directors were under an obligation to purchase the shares, as members of the company, in terms of the provisions of the articles. There was a personal liability of members *inter se* [*Rayfield v. Hand* [1960] Ch. 1].

However, articles do not create an express contract among the members of the company. A member of a company has no right to bring a suit to enforce the articles in his own name against any other member or members. It is the company alone which can sue the offender so as to protect the aggrieved member. It is in this way that the rights of members *inter se* are regulated.

3. *Shiv Omkar Maheshwari v. Bansidhar Jagannath* [1957] 27 Comp. Cas. 255 (Bom.).

A shareholder may, however, sue in his own name to restrain another, or others from doing fraudulent or *ultra vires* act. In *Jahangir R. Modiv. Shamji Ladha* [1866-67] 4 Bom. HCR [1855], the Bombay High Court held : “a shareholder can maintain an action against the directors to compel them to restore to the company the funds of the company that have (by them) been employed in transaction that they have no authority to enter into, without making the company a party to the suit”.

6.8-4 Whether company or members bound to outsiders

The memorandum or articles do not confer any contractual rights upon outsiders against the company or its members, even though the name of the outsider is mentioned in the articles. An outsider (*i.e.*, a non-member) cannot rely on articles of association for his action against the company.

The articles of a company provided that the Board of directors could from time to time appoint anyone or more of them as managing director(s). Under the articles, a managing director can be removed in the same way as other directors of the company, namely, by a special resolution. ‘S’ was appointed on 24-6-1957 as managing director by a resolution of the Board. The contention of ‘S’ was that the special resolution not having being passed, he could not be removed. The question was whether ‘S’ who was not a shareholder could rely upon the articles. Held that the plaintiff was not entitled to place any reliance on the articles. It was observed that even between a member and the company the articles of association constitute a contract only in respect of his rights and liabilities as a shareholder, but not in respect of rights and liabilities which he has in a capacity other than that of a member. But as between the company and outsiders, *i.e.*, persons who are not shareholders, the articles do not constitute a contract which that person can take advantage of - *Major-General Shanta Shamsheer Jung Bahadur Rana v. Kamani Bros. (P.) Ltd.* [1959] 20 Comp. Cas. 501 (Bom.).

Thus, where a person is in a dual capacity, namely, an outsider as well as a member, articles shall constitute a contract between the company and the member but in his capacity as member only.

The articles of a company provided that ‘E’ should be a solicitor for life to the company and should not be removed from office except for misconduct. Later on, he also became a member of the company. But, after employing him as a solicitor for a number of years, the company discontinued his services. He, being a member, sued the company for damages for breach of the contract contained in the articles of association. His case was dismissed on the ground that, he, as a solicitor, was no party to the articles. He must prove a contract independent of the articles. There was no infringement of his right as a member. A breach of contract was there but in his capacity as a non-member [*Eley v. Positive Government Security Life Assurance Co.* [1876] 1 Ex. D. 88].

No article can constitute a contract between a company and a third person and that no right merely purporting to be given by an article to a person, whether a member or not, in a capacity other than that of a member, as for instance, solicitor, promoter, director, can be enforced against the company [*Hickman v. Kent or Romney Marsh Sheep Breeders’ Association* [1914-15] All. ER 900 (Ch.D)].

While the articles cannot create a contract between the company and any person other than a member in his capacity as a member, they may indicate the basis upon

which contracts may be made by the company. If such a contract is entered into whether with a member of the company or any other person, the conditions stated in the articles will be tacitly adopted by that contract, unless expressly negatived or guaranteed by the contract itself - *Swable v. Port Darwin Gold Mining Co.* [1989] 1 Meg. 385.

In this case, the articles provided for the payment to each director, by way of remuneration, a specified sum per annum. By a special resolution, in July, the company reduced this with retrospective effect from the end of the preceding year. The plaintiff thereupon resigned and sued the company for three months' remuneration for services prior to the date of his resignation. The court held that he was entitled to recover on the footing of an implied contract in terms of this clause. "The articles", said Lord Esher, "do not themselves form a contract, but from them you get the terms upon which the director is serving".

6.8-5 Whether Directors are bound by whatever is contained in the articles

The directors of a company derive their powers from the articles and are subject to limitation, if any, applied on their powers by the articles. If they contravene any provision of articles, two parties may be affected, *i.e.*, the company itself, and the outsiders.

In case of contravention of the provisions of the articles, the directors render themselves liable to an action at the instance of the members. However, members may ratify the act of directors, if they so desire. But, if as a result of breach of duty any loss has resulted to the company, the directors are liable to reimburse to the company any loss so suffered.

Further, where the directors contravene the provisions of the articles, it may affect outsiders' interests also. This is explained below with the help of a case law, namely, *Royal British Bank v. Turquand* which lays down the doctrine of indoor management.

6.9 Doctrine of constructive notice

Section 399 provides that the Memorandum and Articles when registered with Registrar of Companies 'become public documents' and then they can be inspected by any one by electronic means on payment of the prescribed fee. Again, Section 17 read along with Rule 34 of the Company (Incorporation) Rules, 2014 provides that a company shall on payment of the prescribed fee send a copy of each of the following documents to a member within seven days of the request being made by him-

1. the memorandum;
2. the articles, if any;
3. every agreement and every resolution referred to in sub-section (1) of section 117, if and so far as they have not been embodied in the memorandum and articles.

Failure to supply the copy(ies), as above, will make the company as well as every officer in default liable to a fine @ Rs. 1,000 per day for each day of the default or Rs. 1,00,000, whichever is less.

Therefore, any person who contemplates entering into a contract with the company has the means of ascertaining and is thus presumed to know the powers of the company and the extent to which they have been delegated to the directors. *In other words*, every person dealing with the company is presumed to have read these documents and understood them in their true perspective. This is known as “doctrine of constructive notice”. Even if the party dealing with the company does not have actual notice of the contents of these documents it is presumed that he has an implied (constructive) notice of them.

Example

One of the articles of a company provides that a bill of exchange to be effective must be signed by two directors. A bill of exchange is signed only by one of the directors. The payee will not have a right to claim under the bill.

6.10 Doctrine of indoor management

The rule of constructive notice proved too inconvenient for business transactions, particularly where the directors or other officers of the company were empowered under the articles to exercise certain powers subject only to certain prior approvals or sanctions of the shareholders. Whether those sanctions and approvals had actually been obtained or not could not be ascertained because the investors, vendors, creditors and other outsiders could not dare ask the directors in so many words about those sanctions having been obtained or to produce the relevant resolutions. Quite naturally, suppose if you desire to buy a ‘bond’ or ‘debenture’ issued by a company, you are not going to ask directors of the company to produce shareholders’ resolution authorising them to issue such bonds before you subscribe the same. Likewise, if a director approaches you to buy certain goods worth, say, a few thousands of rupees, you will not ask him for a power of attorney or other relevant document authorising him to make those purchases on behalf of the company. And if you do, may be, you will lose a good customer once for all. Since there are no means to ascertain whether necessary sanctions and approvals have been obtained before a certain officer exercises his powers which, as per articles, can only be exercised subject to certain approvals, those dealing with the company can assume that if the directors or other officers are entering into those transactions, they would have obtained the necessary sanctions. This is known as the ‘doctrine of indoor management’ and was first laid down in the case of *Royal British Bank v. Turquand* [1856] 6 E & B 327.

The facts of *Turquand’s* case were that the directors of a company were authorised by the articles to borrow on bonds such sums of money as should from time to time, by a resolution of the company in general meeting, be authorised to be borrowed. The directors gave a bond to T without the authority of any such resolution. The question arose whether the company was liable on the bond. *Held*, the company was liable on the bond, as T was entitled to assume that the resolution of the company in general meeting had been passed.

Once again, in the Madras case of *Official Liquidator, Manasube & Co. (P.) Ltd. v. Commissioner of Police* [1968] 38 Comp. Cas. 884 (Mad.). Also see *M. Rajendra Naidu v. Sterling Holiday Resorts (India) Ltd.* [2009] 93 SCL 11 (Mad.). The learned judge observed that the lenders to a company should acquaint themselves with memoran-

dum and articles, but they cannot be expected to embark upon an investigation as to legality, propriety and regularity of acts of directors.

Thus, you would have observed from the foregoing discussion that the 'doctrine of constructive notice' throws a burden on people entering into contracts with a company by making a presumption that they would have read the company's memorandum and the articles even though they might not have actually read them. The 'doctrine of indoor management', on the other hand allows all those who deal with the company to assume that the provisions of the articles have been observed by the officers of the company. *In other words*, the persons dealing with the company are not bound to inquire into the regularity of internal proceedings⁴.

EXCEPTIONS TO THE DOCTRINE OF INDOOR MANAGEMENT

The above noted 'doctrine of indoor management' is, however, subject to certain exceptions. In other words, relief on the ground of 'indoor management' cannot be claimed by an outsider dealing with the company in the following circumstances:

1. *Where the outsider had knowledge of irregularity* - The rule does not protect any person who has actual or even an implied notice of the lack of authority of the person acting on behalf of the company. Thus, a person knowing full well that the directors do not have the authority to make the transaction but still enters into it cannot seek protection under the rule of indoor management. In *Howard v. Patent Ivory Co.* (38 Ch.D 156), the articles of a company empowered the directors to borrow up to one thousand pounds only. They could, however, exceed the limit of one thousand pounds with the consent of the company in general meeting. Without such consent having been obtained, they borrowed 3,500 pounds from one of the directors who took debentures. The company refused to pay the amount. *Held* that, the debentures were good to the extent of one thousand pounds only because the director had notice or was deemed to have the notice of the internal irregularity. The director being an insider, the doors of the company are not closed to him.

The benefit of rule of indoor management is not available to directors - *Morris v. Kanssen* [1946] 16 Comp. Cas. 186 (HL).

2. *No knowledge of articles* - Again, the rule cannot be invoked in favour of a person who did not consult the memorandum and articles and thus did not rely on them. In *Rama Corporation v. Proved Tin & General Investment Co.* [1952] 1 All. ER 554, T was a director in the investment company. He, purporting to act on behalf of the company, entered into a contract with the Rama Corporation and took a cheque from the latter. The articles of the company did provide that the directors could delegate their powers to one of them. But Rama Corporation people had never read the articles. Later, it

4. In England, however, the Companies Act, 1985 now grants further protection to those dealing with companies by making a statutory provision under section 35 of the said Act which provides that if a company enters into a transaction which has been decided on by its directors, and the transaction infringes a limitation on the powers of the directors contained in the company's memorandum and articles, the other party to the transaction may nevertheless treat the company as bound by it if he entered into it in good faith [Pennington's Company Law, 5th edn., P. 138]

was found that the directors of the company did not delegate their powers to T. Plaintiff relied on the rule of indoor management. *Held*, they could not, because they even did not know that power could be delegated.

3. *Forgery* - The rule of indoor management does not extend to transactions involving forgery or otherwise void or illegal *ab initio*. In the case of forgery it is not that there is absence of free consent but there is no consent at all. The person whose signatures have been forged is not even aware of the transaction, and the question of his consent being free or otherwise does not arise. Since there is no consent at all there is no transaction. Consequently, it is not that the title of the person is defective but there is no title at all. Therefore, howsoever clever the forgery might be (even as skilful as by the famous cheat Mr. Natwar Lal), the person gets no rights at all. Thus, where the secretary of a company forged signatures of two of the directors required under the articles on a share certificate and issued certificate without authority, the applicants were refused registration as members of the company. The certificate was held to be a nullity and the holder of the certificate was not allowed to take advantage of the doctrine of indoor management - *Ruben v. Great Fingal Consolidated* [1906] AC 439.

Forgery, in the case of a company, can take different forms. It may, besides forgery of the signatures of the authorised officials, include the execution of a document towards the personal discharge of an official's liability instead of the liability of the company. Thus, a bill of exchange signed by the manager of a company with his own signature under words stating that he signed on behalf of the company, was held to be a forgery when the bill was drawn in favour of a payee to whom the manager was personally indebted - *Kredibank Cassel GmbH v. Schenkers Ltd.* [1927] 1 KB 826. The bill in this case was held to be forged because it purported to be a different document from what it was in fact; it purported to be issued on behalf of the company in payment of its debt when in fact it was issued in payment of the manager's own debt.

'Forgery' may further include the unauthorised use of the company's seal. In the case of *South London Greyhound Racecourse Ltd. v. Wake* [1931] 1 Ch. 496, a share certificate bearing the company's seal and attested by a director and the secretary was held to be a forgery because the affixing of the company's seal had not been authorised by a resolution of the Board as required by the articles.

4. *Negligence* - The 'doctrine of indoor management', in no way, rewards those who behave negligently. Thus, where an officer of a company does something which shall not ordinarily be within his powers, the person dealing with him must make proper enquiries and satisfy himself as to the officer's authority. If he fails to make an enquiry, he is estopped from relying on the Rule. In *Al Underwood v. Bank of Liverpool* [1924] 1 KB 775, a person who was a sole director and principal shareholder of a company paid into his own account cheques drawn in favour of the company. *Held*, that, the bank should have made inquiries as to the power of the director. The bank was put upon an enquiry and was accordingly not entitled to rely upon the ostensible authority of director.

Similarly, in *B. Anand Behari Lal v. Dinshaw & Co. (Bankers) Ltd.* AIR 1942 Oudh 417, an accountant of a company transferred some property of a company in favour of Anand Behari. On an action brought by him for breach of contract, the Court held the transfer to be void. It was observed that the power of transferring immovable property of the company could not be considered within the apparent authority of an accountant.

5. Again, the doctrine of indoor management does not apply **where the question is in regard to the very existence of an agency**. In *Varkey Souriar v. Keraleeya Banking Co. Ltd.* [1957] 27 Comp. Cas. 591, the Kerala High Court held that the 'doctrine of indoor management' cannot apply where the question is not one as to the scope of the power exercised by an apparent agent of a company but is in regard to the very existence of the agency.
6. Doctrine is also not applicable **where a pre-condition is required to be fulfilled** before company itself can exercise a particular power. In other words, the act done is not merely *ultra vires* the directors/officers but *ultra vires* the company itself - *Pacific Coast Coal Mine v. Arbuthnot* [1917] AC 607.
7. **Oppression** - Doctrine of indoor management can be invoked only with reference to acts which relate to provisions of memorandum and articles, and not in a case where oppression is alleged [*Navin R. Shah v. Simshah Estates and Trading Co. (P.) Ltd.* [2007] 74 SCL 372 (CLB - New Delhi)]

Test your knowledge

[QUESTIONS HAVE BEEN SELECTED FROM PAST EXAMINATIONS OF C.A. (INTER)/PE-II/PCC/FINAL, C.S. (INTER)/FINAL, ICWA (INTER)]

1. Distinguish between 'Memorandum of association' and 'Articles of association'.
2. "The articles of association play a subordinate role to the memorandum of association" Comment.
3. Write a short note on : Doctrine of indoor management.
4. "The doctrine of indoor management is a 'silver lining' to strangers dealing with the company." Comment.
5. Discuss the binding effect of memorandum and articles of association when registered, on the shareholders and outsiders.
6. (a) "Articles of association constitute a contract between the company and the members and Members *inter se*." Discuss.
(b) "The altered articles will bind the members just in the same way as did the original articles, but that will not give the alteration a retrospective effect". Comment.
7. Examine the following statement :
"The power of altering the articles is wide, yet it is subject to a large number of limitations."
8. Can the shareholders enter into an agreement amongst themselves which is inconsistent with the articles of association of the company?
9. The benefit of 'doctrine of indoor management' is not available under certain circumstances. Comment.

10. "Doctrine of 'constructive notice' and of 'indoor management' are conflicting doctrines". Examine this statement and state what matters would not be covered by the respective doctrines.
11. Enumerate the exceptions to the 'doctrine of indoor management'.
12. Discuss, whether it is legally compulsory for a company to have its own Articles of association ? What restrictions should the Articles provide to give a company the status of a private company ?
13. Explain the rule laid down in the *Royal British Bank v. Turquand* and state the exceptions to the rule.

PRACTICAL PROBLEMS

1. A limited Company is formed with its Articles stating that one Mr. Srivastava shall be the solicitor for the company, and that he shall not be removed except on the ground of misconduct. Can the company remove Mr. Srivastava from the position even though he is not guilty of misconduct?

Hints : As between outsiders and the company, Articles do not give any right to outsiders against the company, even though their names might have been mentioned in the Articles. An outsider cannot take advantage of the Articles to found a claim thereon against the company. Thus, in the given case, the company shall succeed in removing Mr. Srivastava as the solicitor of the company without incurring any obligations. The facts given are based on the decided case of *Eley v. Positive Government Security Life Assurance Co.* in which similar decision was pronounced.

2. A company, in which the directors hold majority of the shares, altered its Articles so as to give power to directors to require any shareholder, who competed with the company's business, to transfer his shares, at their full value, to any nominee of the directors. S had some shares in the company, and he was in competition with the company. Is S bound by the alteration ?

Hints : The power of the members to effect alteration in the Articles by passing special resolution is limited inasmuch as the alteration must be *bona fide* and in the interest of the company. In the given case, alteration requires taking over the shares of only those who competed with company's business. Therefore, empowering the directors to take over shares of such members seems to be in the general interest of the company as a whole and hence shall be valid. S shall be held bound by the alteration.

3. Document on which a company borrowed a sum of money was executed by the managing director, who was the chief functionary of the company and to comply with the requirements of the Articles the signatures of two other directors were forged. Can the company be allowed to deny liability under this document ?

Hints : In *Ruben v. Great Fingall Consolidated*, Lord Loreburn held that protection under doctrine of indoor management could not be extended to cases of forgery. A transaction effected by forgery is rendered *void ab initio* for absence of consent and not voidable on ground of mere fraud. The rule of indoor management only covers the gap created by lack of authority. It cannot apply to transactions which are void or illegal *ab initio*.

However, in *Sri Kishan v. Mondal Bros. & Co.*, it was held that a company may be held liable for fraudulent acts of its officers acting under their ostensible authority on its behalf. Thus, where a managing director practises a fraud on the company and does not place the money borrowed by him on behalf of the company with the company, the company cannot defeat a *bona fide* creditor's claim for recovery of the money on the ground of fraud of its own officers.

In the given problem, therefore, the company will not be allowed to deny liability on the document in question.

4. The Articles of a company provided that the shares of a member who became bankrupt would be offered for sale to other shareholders at a certain price. Is the provision binding on the shareholders ?

Hints : The facts of the given problem are based on the decided case of *Boreland Trustee v. Steel Bros. & Co. Ltd.*, in which case, the provisions in the Articles were held to be binding on the members. The learned judge observed that "Shares having been purchased on these terms and conditions, it is impossible to say that those terms and conditions are not to be observed". Thus, since Articles constitute a binding contract between the company and its members, the shareholders shall be held bound by the stated provisions in the Articles.

5. The plaintiffs contracted with a director of the defendant company and gave him a cheque under the contract. The director could have been authorised under the company's articles, but was not in fact so authorised. The plaintiffs had not seen the Articles. The director misappropriated the cheque and the plaintiffs sued the company.

Is the company liable ?

Hints : The problem relates to the protection that the outsider may claim against lack of authority on the part of the officers of the company. The rule commonly known as the Doctrine of Indoor Management, was first laid down in the case of *The Royal British Bank v. Turquand*. However, it has been held that the rule of indoor management cannot be invoked in favour of a person who had no knowledge of the Articles of the company. It is because, in such a case the person cannot assume that the power (of which he has no knowledge) has been rightly exercised. In *Rama Corporation v. Proved Tin & General Investment Co.*, on which the problem in question is based, it was held that the plaintiffs could not rely on the rule of indoor management because they did not know the existence of the power to authorise the director.

Thus, in the present case, company shall not be held liable by the act of the director who has transacted beyond the scope of his authority. A principal can be held liable for the frauds of his agent only to the extent they are committed within the scope of the authority conferred upon him.